THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-V)

(CAA)-126/ND/2021
Connected with CA (CAA)-45/ND/2021

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

AND

In the matter of Scheme of Arrangements

OF

Campus AI Private Limited
R/O : J-17, Udyog Nagar,
New Delhi - 110110

...(Petitioner Company 1/Transferor Company)

AND

Campus Activewear Limited
R/O : D-1, Udyog Nagar
Main Rohtak Road, New Delhi – 110041

... (Petitioner Company 2/ Transferee Company)

Order Pronounced on: 11.08.2022

CORAM:

SH. P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Rajeev K Goel and Kartikeya Goel, Advocates
For the OL : Hemlata Rawat & Manas Tripathi
For the RD : Shankari Mishra, adv.
For the IT Department : Easha Kadian, Sanjay Kumar, Standing Counsels along with Himanshu Adv.

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ORDER

PER SHRI, P.S.N PRASAD MEMBER (J)

This joint petition has been filed under the provisions of Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016 for the purpose of approval of Scheme of Arrangement (for brevity **"the Scheme"**) of Transferor Companies into Transferee Company.

2. A perusal of the petition discloses that initially the First Motion application was filed before this Tribunal vide CA(CAA)-45/ND/2021 moved under Sections 230-232 of the Companies Act, 2013 and vide order dated 23.12.2021, directions were issued by this Tribunal for dispensing meetings of the Equity shareholders, Secured Creditors and Unsecured Creditors of all the Applicant Companies.

3. Thereafter the 2nd Motion petition was filed on 29.12.2021 vide (CAA) No. 126 (ND)/2021 within prescribed time limit and vide order dated 18.01.2022 the petitioners were directed to carry out publication in the newspaper namely **'Business Standard'** (English, Delhi Edition) and **'Business Standard'** in (Hindi, Delhi Edition). In addition to the

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public notices, notices were directed to be served on to the Central Government through Regional Director (Northern Region), Registrar of Companies (NCT of Delhi and Haryana), Official Liquidator, the Income Tax Department, New Delhi and to the other concerned sectoral regulators.

4. It is seen from the records that the transferee company has filed affidavit dated 23.03.2022, affirming compliance of order dated 18.01.2022 passed by this Tribunal. A perusal of the affidavit disclose that the transferee company has affected newspaper publication as directed in the Business Standard (English Edition) and Business Standard (Hindi Edition) respectively in their issues of 3rd March 2022. The copy of original cutting of the newspaper is annexed. Further the Transferee Company has affirmed that the copy of petition has been duly served upon the Registrar of Companies, Regional Director (Northern Region), Official Liquidator, Income Tax Department, Reserve Bank of India. It was further also clarified that there are no other sectoral authorities.

5. The Official Liquidator vide its report dated 08.04.2022 stated that on receipt of the said notice, the OL department issued an office letter No. OL/Tech/Amal/26 dated 4th February 2022 to obtain certain information/records for the purpose of preparing the reports. The

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petitioner companies furnished the documents on 10.03.2022. Pursuant to receipt of documents the Official Liquidator stated that he has not received any complaint against the proposed scheme of amalgamation from any person/party interested in Scheme. The OL noted the following facts about the Transferor Company:

a) The transferor company is a newly incorporated company. It was incorporated on 07.02.20220 by conversion of partnership firm under the provisions of Chapter XXI of the Companies Act 2013.

b) Referring to the Financial Statements as at 31.03.2021, a total income of Rs. 254.89 crores were earned as compared to Rs. 30.12 crores in the previous year. The net profit (after tax) for the year is Rs. 47.47 Crores as compared to the net profit (after tax) of Rs.4.97 crores in the previous year.

c) The petitioner companies have filed the present scheme of amalgamation with the justification inter alia to simplify the group structure by consolidation of legal entities and reduction in management overlaps thereby eliminating legal and regulatory compliances and associated costs due to operation of multiple entities.

d) The petitioner in their report dated 24.09.2021 have reported inter alia that there is no other material change as specified in the said report, affecting the financial position of the company.

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e) The Transferee Company has debit balance of Capital Reserve amounting to Rs. 156.79 Crores as on 31.03.2020 for which it has proposed to adjust the same from its Securities Premium Account amounting to Rs. 158.74 crores.

Further submitted that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest. Hence they do not have any objection if the proposed scheme of amalgamation is allowed.

6. The Regional Director (Northern Region) has filed an affidavit dated 05.07.2022 by setting out facts of the case, the observations received from the ROC vide report dated 18.05.2022 and in terms of the reply dated 24.03.2022 received from the applicant companies stated that the matter be kindly decided on merit.

The relevant extracts of the observations made by the RD in its report is as stated below:

"That as per Para 31 of the report of ROC New Delhi and the observations of deponent, communicated to the company vide letter dated 04.07.2022

I. As it is stated in the clause 1.3 & 4.1 of the Scheme, transferee company proposed to utilize the credit balance in the securities premium account for adjusting the debit balance of capital reserve. This would lead to reduction of securities premium account of the Transferee Company. However, the reduction of the securities premium in the proposed scheme is not in accordance with the Section 52 of the Companies Act, 2013 which exclusively lays down the manner of utilization of the securities premium.

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II. *The Transferee Company may kindly be directed to comply with the provisions of Section 232(3)(i) of the companies Act, 2013 in regard to fee payable of its revised authorized share capital."*

The transferee company responded to the observations made by the RD and clarified the same vide its letter dated 04.07.2022, which is annexed with the report.

7. The Income tax department filed its report and stated that as per records no proceedings are pending against the Petitioner Companies. Further no outstanding demands are pending against Petitioner Companies. Therefore, the IT Department has no objection to the Scheme being allowed.

8. It was submitted that no objections from any third party or public at large have been received against the Scheme of Amalgamation.

9. The petitioner has affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the Petitioner Companies.

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the petitioner companies to the

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proposed scheme, as well as in terms of the reports filed by the Regional Director (Northern Region), Income Tax and Official Liquidator and further considering the affidavit of undertaking filed by the transferee company, there appears to be no impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 & 232 of the Companies Act, 2013. The petitioners however remain bound to comply with all the statutory requirements in accordance with law.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned persons, Directors and officials of the petitioners.

12. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

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13. **THIS TRIBUNAL FURTHER ORDER(S):**

a) That all the transferor companies shall stand dissolved without following the process of winding up; and

b) That all the property, rights and powers of all the transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.

c) That all the liabilities and duties of the all transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

d) That all proceeding now pending by or against the transferor company, be continued by or against the transferee company; and

e) That all the employees of all the transferor companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date shall become the employees of the transferee company on such date without any break or interruption in services and upon terms and

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conditions not less favorable than those subsisting in the respective transferor companies on the said date.

f) That petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered all the transferor companies shall stand dissolved and the Registrar of Company shall place all documents relating to all the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

g) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed off in the above terms.

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(RAHUL BHATNAGAR)
Member (T)

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(P.S.N PRASAD)
Member (J)